emphatically announcing an aged topping process. As you can see, in every instance that the 10-year rate of change reached an extreme overbought condition, the market did not peak until the indicator had first retreated to a lower level, reflecting a slowing of the upside rate of change. Each vertical arrow in Figure 9-4 marks a peak overbought condition, while each sideways arrow marks the level of the indicator when the market made its final high. Durations between the high in the indicator and the high in the market have ranged from seven months in 1929 to nearly seven years in 1959-1966. Now observe that wave V's upside rate of change on a 10-year basis peaked in July 1992, nearly *three years ago*. The indicator has since fallen and bounced back up to a lower level. *The divergence at Cycle degree in place today is commensurate with those of the most important tops of the past 150 years.*

Let's investigate this latest slowing more closely. Observe in Figure 9-5 the striking divergence of the 3-year rate of change on the DJIA against the new highs it has been making since 1987. A 5-year rate of change (not shown) shows the same thing. Primary wave

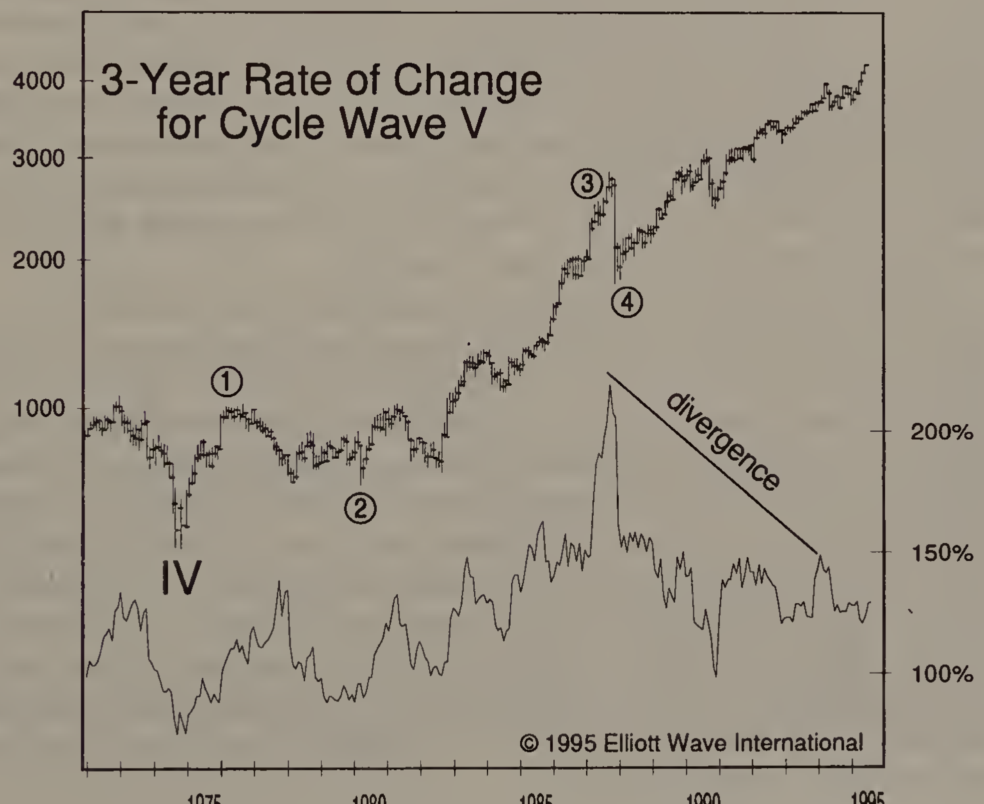

Figure 9-5